

World in Brief: Governments' borrowing costs jump; Iran fires missiles at the UAE



Photograph: Getty Images

Yields on **American 30-year Treasuries** briefly rose above 5.3%, to their highest level since 2007, because of [growing fears](#) about inflation, the country's \$40trn debt and rising oil prices.

Government borrowing costs also jumped in Britain and Japan, and hit multi-year highs in France and Germany. America's NASDAQ fell by 1.3% because investors sold shares of chipmakers.

The **United Arab Emirates** said **Iran** fired two ballistic missiles towards it, both of which fell into the sea. The **UAE** said it remains on "high alert". Earlier, **Donald Trump** insisted that no talks are scheduled with Iran's regime, and claimed that the [Strait of Hormuz](#) is open. Mohammad Bagher Ghalibaf, Iran's parliamentary speaker, called members of the Trump administration a "clown crew".

China's foreign minister will visit Seoul on Wednesday, as **South Korea's** president seeks a formal end to the war with **North Korea**, China's ally. The conflict has been frozen since the 1950s. On Sunday Mr Trump said America would [scale back military exercises](#) with the South, and called Kim Jong Un, the North's dictator, "unthreatening and respectful". American and South Korean politicians expressed alarm at his comments.

Delaware Life, an insurer controlled by **Mark Walter**, a billionaire investor, is reducing lending to his other businesses by as much as \$6.5bn. It follows a federal investigation into alleged fraud linked to \$20bn in private-credit deals involving Mr Walter's insurance empire. Amid intensifying legal scrutiny, Mr Walter [sold](#) his controlling stake in the Los Angeles Lakers basketball team to Josh Kushner and Bob Iger for a record \$12.5bn last week.

Zambia's president, Hakainde Hichilema, secured a second five-year term with over 60% of the vote in an election viewed as a [referendum](#) on his [economic reforms](#). He took over after a debt crisis in 2020. However, his victory caused tension in the copper-rich country. On Friday, authorities arrested opposition figures for allegedly planning a revolt—a charge denied by his main challenger, Brian Mundubile.

Mike Ashley, a British retail tycoon, increased his stake in **Hugo Boss** to 48%. Mr Ashley's company, Frasers Group, is trying to take over [Germany's biggest luxury fashion firm](#); Hugo Boss's board had recommended shareholders reject his offer of €38 (\$44) a share. Mr Ashley, who founded Sports Direct, a cheap sporting-goods shop, is going upmarket. Last week he bought Harvey Nichols, a posh but struggling British department store.

Figure of the day: 17m, the number of people projected to buy coverage through Obamacare exchanges by the end of this year, down from 21.8m last year. Read why the Democrats' signature health law is [faltering](#).

Disney sued America's Federal Communications Commission over the regulator's treatment of **ABC**, its TV network. Brendan Carr, the FCC's boss, insists that a review of ABC's licences is linked to an investigation into its [diversity policies](#). Disney calls it an illegal attempt to quell free speech. Mr Trump has objected to criticism of him broadcast on ABC's programmes "The View" and "[Jimmy Kimmel Live](#)".

America-Canada talks go down to the wire



Photograph: Getty Images

America and Canada have until the end of Tuesday to reach a deal. Without an agreement, Donald Trump has vowed to apply new 50% tariffs on around \$20bn worth of Canadian goods, effective from midnight. There has been some progress, but talks are expected to go right down to the final hours. Should Mr Trump carry out his threat, it will add to Canada's woes: existing tariffs of up to 50% have already battered its automotive, aluminium and wood sectors.

A central demand from Mr Trump is for eight Canadian provinces to restock American booze on supermarket shelves, following boycotts in response to earlier levies. In return Canada wants lower tariffs on goods such as lumber and cars. Canada's protected dairy market is also a target of American negotiators. Ordinary Canadians despise [the president's bullying tactics](#). Polls suggest they are in no mood to see their leaders accommodate Mr Trump.

Will Germany's mood continue to brighten?



Photograph: DPA

Gloomy German spirits seem to be lifting. Data released on Tuesday show the ZEW Indicator of Economic Sentiment, which measures investor confidence, rose by almost a third in August compared with July, continuing a climb out of a slump deepened by America's war against Iran.

Europe's largest economy appears to have momentum. In June new orders in manufacturing unexpectedly rose by 3.1% compared with a month earlier and exports were up nearly 1% from May. Friedrich Merz, the chancellor, offered a further boost last month, unveiling sweeping economic reforms, including €10bn (\$11bn) in tax relief for people on lower incomes. He also proposed changes to the pension system, among them a higher retirement age.

There are problems, however. The five successive heatwaves that hit Europe this summer have severely disrupted trade along the country's parched rivers. Searing temperatures could shave as much as 0.5% off Germany's GDP. And with no respite yet from Europe's record-breaking drought, the cost could rise further still.

Is big tech the new big tobacco?



Photograph: Jason Henry/New York Times/Redux/Eyevine

Meta goes on trial on Tuesday, facing accusations by four American states of designing Facebook and Instagram in order to harm children. Opening arguments begin in a federal court in Oakland, California, with the lead plaintiffs—California, Colorado, Kentucky and New Jersey—alleging that Meta crafted its platforms to keep children hooked and misled the public about their safety. They are among 29 states also claiming Meta collected data from children without parental consent.

Meta faces thousands of other federal lawsuits. A judge in San Francisco recently rejected an appeal by Meta and TikTok that they were protected under Section 230 of the Communications Decency Act, clearing the path for further claims. And [earlier this year](#) courts in Los Angeles and New Mexico found Meta and Google negligent for designing platforms harmful to young people. With these latest charges, the plaintiffs are reportedly seeking almost \$200bn from the social-media giant. Meta, which says it has long supported youngsters, disputes the allegations.

Tata's turmoil is far from over



Photograph: Getty Images

For months, Tata, an Indian conglomerate that sells everything from salt to software, has been consumed by [boardroom drama](#). The most recent twist came last week, when the board's chair, Natarajan Chandrasekaran, unexpectedly announced he would step down after his term ends in February 2027.

Mr Chandrasekaran runs Tata Sons, the holding company for the conglomerate, which is majority-owned by Tata Trusts, a collection of charitable trusts. Noel Tata, chair of Tata Trusts, clashed with Mr Chandrasekaran over whether the holding company should go public, which Mr Tata has reportedly resisted. The pair also disagreed over broader strategy and the succession plan for Mr Chandreskaran.

None of this is immediately resolved by Mr Chandreskaran's surprise announcement. Nor will Tata's annual general meeting on Tuesday offer much relief. The meeting is expected to be adjourned after one of the trusts warned it may not send a representative, blocking the board's ability to vote. Investors hoping for clarity will have to wait.

Democratic hopes dim in the Sunshine State



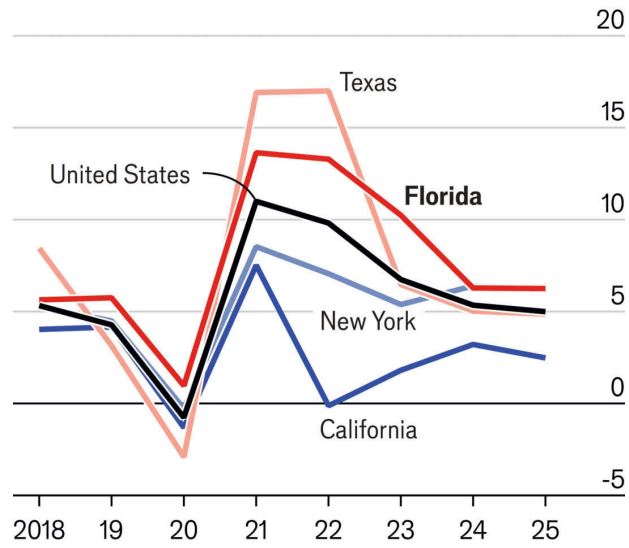
Photograph: Getty Images

On Tuesday voters in Florida will pick the Republican and Democratic candidates for governor in one of the country's final primary elections before midterms in November. Byron Donalds, a congressman, leads the Republican field. His likely opponent is David Jolly, a one-time Republican who left the party in opposition to Donald Trump. The Democrats face steep odds: the Sunshine State has not elected a governor from the party since 1994.

Ron DeSantis, the departing governor, [transformed Florida](#) over his nearly eight years in office, during which time its GDP growth has outpaced the national average and big firms such as Palantir moved there. His decision to open the state during the covid-19 pandemic attracted conservatives fleeing lockdowns in Democratic-run cities such as New York and Chicago. His “war on woke” then turned the state into a laboratory for Republican policy. Today Florida serves as the president's adoptive home, where foreign leaders come to curry favour. It was once America's quintessential swing state. Now it's MAGA-land.

Walking on sunshine

GDP, % change on a year earlier



Source: Federal Reserve Bank of St Louis

Daily quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Tuesday: What term, familiar from geometry, is used to describe the act of acquiring the bulk of a commodity's supply so as to drive up the price?

Monday: Which Johnny Cash song was adapted as the title of the 2005 biopic of the country singer?

The real problem is not whether machines think, but whether men do.

B.F. Skinner